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[GS III - ECONOMY, ENVIRONMENT] | **Publication Date: 29/08/2026**

PARIVARTAN Scheme



PARIVARTAN Scheme accelerates replacement of old commercial vehicles with cleaner BS-VI and electric vehicles, offering financial incentives to reduce transport emissions and air pollution.

PARIVARTAN Scheme

Syllabus Areas:

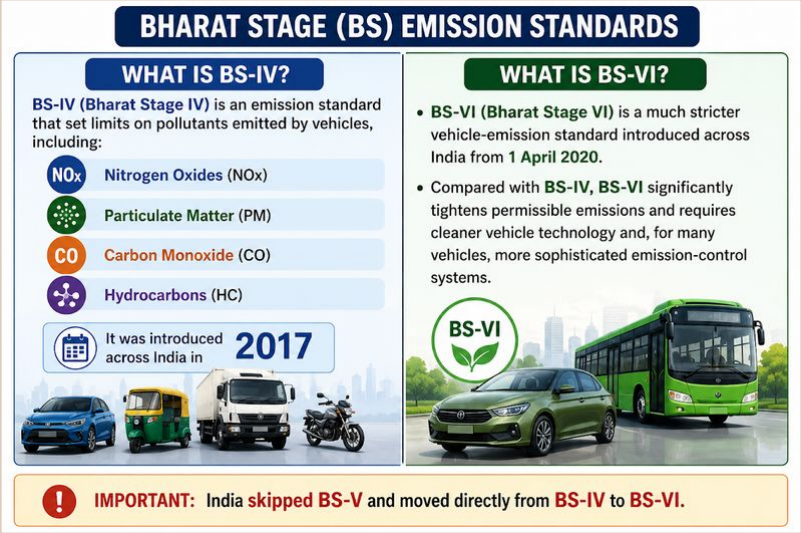
GS III - Economy, Environment

The **PARIVARTAN (Programme for Accelerated Renewal and Incentivization of Vehicle Assets for Reducing Transport Air Pollution and Network Emissions) Scheme**

- The scheme was approved by the **Union Cabinet on 3 June 2026**.
- It aims to accelerate the replacement of **over 2 lakh old trucks and buses** conforming to **BS-IV or earlier emission norms**.
- The target vehicles are those registered in **Delhi-NCR**, including NCR districts of **Haryana, Rajasthan and Uttar Pradesh**.
- Replacement is encouraged with **BS-VI or stricter-compliant diesel/CNG vehicles or electric vehicles (EVs)**.

Bharat Stage (BS) Norms:

Bharat Stage (BS) norms are India's vehicle-emission standards that regulate pollutants from automobiles, progressively requiring cleaner fuels and technologies to reduce air pollution and protect public health.



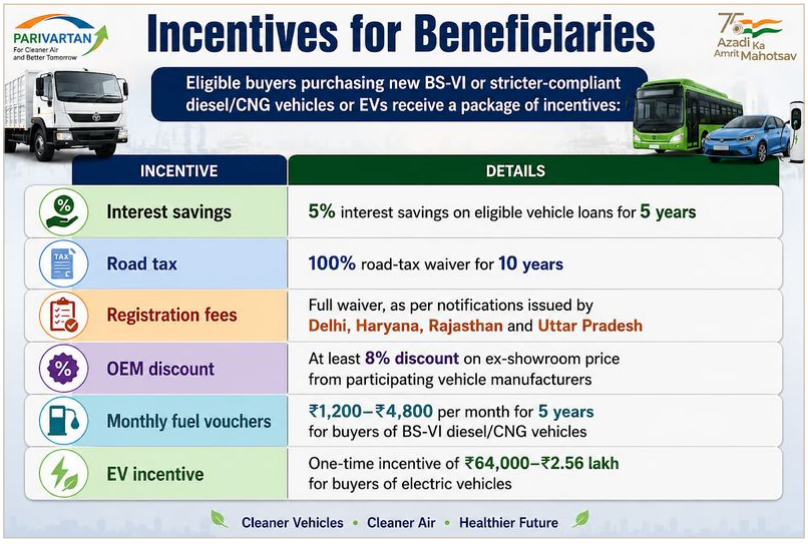
Why is the scheme important?

The scheme primarily seeks to:

- Reduce **transport-related air pollution**.
- Reduce **vehicular emissions** from older commercial vehicles.
- Accelerate the transition towards **cleaner and newer vehicles**.
- Encourage adoption of **electric vehicles** as an alternative to conventional diesel/CNG vehicles.
- Support cleaner transportation in the highly polluted **Delhi-NCR region**.

Financial Outlay

- **Total financial outlay:** Rs. 9,585 crore.
- **Central Government budgetary support:** Rs. 5,041 crore.
- Funding is provided through the **National Capital Region Planning Board (NCRPB)** under the **Ministry of Housing and Urban Affairs (MoHUA)**.
- Implementation is being undertaken by the **Ministry of Road Transport and Highways (MoRTH)**.



- OEMs are the **vehicle manufacturers that produce the eligible new trucks, buses and other vehicles**.

Launch and Current Progress

- The PARIVARTAN Scheme was **launched on 14 July 2026**.
- By **27 August 2026**, more than **1,300 beneficiaries** had registered on the PARIVARTAN Portal.
- **42 banks and NBFCs** have joined the initiative to provide interest subvention on vehicle loans.

- **15 automobile OEMs** have signed MoUs to provide discounts to eligible beneficiaries

PARIVARTAN is a targeted Delhi-NCR vehicle-renewal initiative that combines financial incentives, institutional financing and OEM participation to accelerate replacement of old commercial vehicles and reduce transport-related emissions.